

Module 11: Managing the Audit Process

Open Meeting

1. Introduce Participants: Include the audit team, relevant management, and the audit client.
 - a. For limited-scope audits, only invite management from the audited area.
 - b. For shorter audits (1-2 days), invite only essential managers related to the audit scope.
2. Confirm Audit Plan: Ensure the audit client and team agree on the audit plan's applicability.
3. Agenda Overview:
 - c. Audit Objectives, Scope, and Criteria.
 - d. Audit Plan Outline: Steps and structure of the audit process.
 - e. Audit Team Introduction: Present audit team members.
4. Audit Methods: Brief on methods used and expected conclusions for clarity.
5. Business Introduction (if necessary): A short overview by the auditees on business operations, including any specific security, safety, or risk controls relevant to the audit team.
6. Q&A Session: Opportunity for auditees to ask questions or express concerns.

Meeting Duration: Should not exceed 30 minutes, with a goal to clearly communicate the audit process to management and ensure mutual understanding.

Managing Site Visits

1. Site Visit Orientation & Evidence Gathering:
 - a. Follow Audit Trails: Allow time for questions to explore audit trails and verify answers.
 - b. Team Structure: Conduct visits individually, in small groups, or split the team based on specific roles or areas of interest.
 - c. Extended or Group Visits: Plan as needed depending on the audit scope.
2. Deployment and Verification Visits:
 - d. Shorter, Targeted Checks: Focus on verifying tasks are performed as specified.
 - e. Follow-up Questions: Allow time for questions and evidence gathering during visits.
3. Include Less-Visited Site Areas:
 - f. Comprehensive Coverage: Ensure all areas within the audit scope are visited, including peripheral or less frequently accessed areas.
 - g. Visit Strategy: Start with outer site areas and move toward central operations.
4. Lead Auditor Responsibilities:
 - h. Balance Leadership and Inquiry: Allow the Auditee to lead in demonstrating compliance but maintain control over audit directions.

- i. Prevent Divergence: Stay focused on areas of concern and prevent the Auditee from diverting the audit.
- j. Professional Persistence: Be assertive in inquiries while avoiding argumentativeness.

Interviews

Purpose and Planning:

- a. Arrange interviews in advance where possible, but stay flexible to adjust during the audit if new interviews are needed.
- b. Coordinate interview objectives among the audit team to ensure meaningful inquiries and prevent repeated interviews of the same individual.

Team Coordination:

- c. Each auditor should prepare an interview plan, outlining who they'll interview, the objectives, and specific questions.
- d. Share and discuss interview plans with the team to integrate additional questions and avoid duplication.

Recording Interview Outcomes:

- e. Document answers and findings, especially noting any non-conformities, reasons for concern, and potential consequences.
- f. Share notes among the team to ensure a consistent understanding of the audit findings.

Use of Pro Forma Sheet:

- g. If not already available, create a pro forma sheet to guide interviews. This is particularly helpful for less experienced auditors.
- h. Suggested headings for the sheet:
 - i. Interviewee name, job title, role.
 - j. Specific questions or queries for the audit team.
 - k. Responses and evidence gathered.
 - l. Audit findings and potential non-conformities.

Managing Audit Evidence Requests

Coordination and Tracking:

- a. Maintain a log of all audit evidence requests to ensure nothing is missed. Use tools like a flip chart, whiteboard, or Post-it notes to visually track requests and responses.
- b. Consolidate requests from the audit team to streamline the process for auditees, avoiding duplicate requests to the same individuals.

Efficient Request Presentation:

- c. Present a single, organized list to each auditee, simplifying the evidence collection process.

Daily Debrief Sessions:

- d. Use daily debrief sessions to manage requests, ensuring all items are accounted for and updated.
- e. Ensure the audit team is aware of this tracking process before the audit so that each member records their requests consistently.

Debriefing Sessions

Purpose of Debriefing Sessions:

- a. Ensure alignment between the audit team, audit client, and any necessary hosts or guides.
- b. Decide if manager attendance is beneficial to the session's goals.

Pre-Audit Communication:

- c. Clarify the purpose of debriefing sessions to the audit team and client before the audit to avoid turning them into informal audit extensions.

Typical Agenda Items:

- 1. Audit Evidence Requests: Review new and outstanding requests.
- 2. Additional Needs:
 - d. Requests for further interviews or site visits.
 - e. Confirmation of upcoming audit activities.
- 3. Audit Plan Adjustments: Discuss any necessary changes to the audit plan.
- 4. Progress Verification:
 - f. Check progress on audit outcomes.
 - g. Review any issues, observations, or audit findings.

Managing Audit Outcome Expectations:

- h. Explain that audit conclusions will only be drawn after the complete analysis.
- i. Only share preliminary evidence, not conclusions, until the audit is finalized.

Dealing with Conflicts

Purpose: Resolve conflicts effectively to ensure audit outcomes are not compromised.

Managing Conflicts:

- a. Identify and address conflicts early, especially those due to misunderstandings, miscommunication, or differences in opinion.
- b. Separate discussion location: If possible, conduct conflict discussions away from the main audit setting.

Resolution Approach:

- 1. Stay Impartial: Clarify your neutrality and focus on evidence.
- 2. Separate Facts from Assumptions: Establish agreement on factual evidence first.

3. Discuss Opinions and Consequences:
 - c. Reach consensus on whether the facts indicate a non-conformity.
 - d. Try to agree on potential impacts or consequences.
4. Seek Common Ground: Aim for mutual understanding, even if full agreement isn't possible.

If Disagreement Persists:

- e. Document the Disagreement: Record unresolved issues for the closing presentation and audit report.
- f. Remind Both Parties: Stress that this is a preliminary finding, not a final audit conclusion.